

FUTUREPROOF FINANCIAL

Seed Investment Memorandum

Equity Preservation Mortgage Platform
Multi-Jurisdiction Financial Infrastructure

CONFIDENTIAL & PROPRIETARY

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www.futureprooffinancial.co

1. Executive Summary

FutureProof Financial is building the infrastructure layer for **Equity Preservation Mortgages (EPM)** — a new asset class that enables homeowners to receive guaranteed monthly income from their property equity without selling, downsizing, or taking on compounding debt. The mortgage proceeds are invested in a professionally managed investment portfolio (BlackRock volatility-controlled ETFs with SpiderRock dynamic hedging), and the homeowner receives a guaranteed annuity for the term of their choice.

Unlike reverse mortgages — which erode equity through compounding interest — EPM preserves 100% of the homeowner's equity position through a No Negative Equity Guarantee (NNEG). The customer retains full ownership of their home and their equity is protected by an eight-layer risk framework validated through 50,000-path Monte Carlo simulation.

What we have built: A production-deployed, multi-jurisdiction platform (AU, NZ, UK, US) with complete origination workflow, AI-powered operations, 79 data models, real-time dashboards, and Monte Carlo validated pricing. The platform is live at futureprooffinancial.co with full regulatory compliance framework across four jurisdictions.

4

Jurisdictions

79

Data Models

605

Passing Tests

50K

MC Paths

2. The Problem

\$11.6 trillion in untapped home equity exists across the US, UK, Australia, and New Zealand. Homeowners — particularly retirees — are asset-rich but cash-poor. Current solutions are inadequate:

- **Reverse mortgages** — compound interest erodes equity; negative perception; high fees; limited to seniors 62+ (US). The US reverse mortgage market has declined 70% from its 2009 peak.
- **Home equity loans/HELOCs** — require monthly repayments; borrower must service the debt; interest rate risk on variable products.
- **Downsizing** — emotional cost; transaction costs 6-8% of property value; disrupts social connections and community.
- **Sale-leaseback** — homeowner loses ownership; regulatory scrutiny; tenant risk.

None of these options offer guaranteed income while preserving 100% equity. The EPM fills this gap as a genuinely new financial product.

3. The Solution: Equity Preservation Mortgage

The EPM is an index-linked mortgage where the loan proceeds are invested in a diversified portfolio rather than drawn down. The investment returns fund a guaranteed annuity to the homeowner, while the mortgage balance is repaid from the investment account at maturity or property sale.

How It Works

Step	Action	Example (\$2M Property)
1	Homeowner takes EPM at up to 80% LTV	\$1,350,000 loan (67.5% effective)
2	Proceeds managed by BlackRock & SpiderRock	Volatility-controlled ETFs + dynamic hedging (±20% collar)
3	Guaranteed monthly income paid	\$2,500/mo (10yr term) = 1.5% p.a.
4	Investment grows over time	Mean: \$1.69M surplus at Year 30
5	Mortgage repaid at sale/maturity	Equity 100% preserved by NNEG

The annuity is funded by the expected investment returns, not by drawing down the loan principal. After the annuity period ends, the investment continues to compound. At maturity, the mortgage is repaid from the investment account. Any surplus is shared between FutureProof and the wholesale funder.

Guaranteed Annuity Rates

Term	Annual Rate	Monthly Income (\$2M Property)	Annual Income
10 years	1.50%	\$2,500	\$30,000
15 years	1.37%	\$2,283	\$27,400
20 years	1.25%	\$2,083	\$25,000
25 years	1.15%	\$1,917	\$23,000
30 years	1.05%	\$1,750	\$21,000

Note: Income rates are conservative (1.05–1.50% of property value p.a.) because the underlying investment portfolio targets 10% mean annual returns. The large spread between investment returns and income payout creates the surplus that funds the business model.

4. Market Opportunity

FutureProof targets four markets simultaneously — enabled by our multi-jurisdiction platform. Each market has specific regulatory requirements that our platform handles natively:

Market	Regulator	Min Property	Min Age	Est. Addressable Equity
United States	CFPB / NMLS	\$500,000	62	\$8.0T
Australia	ASIC / AFSL	A\$500,000	55	\$1.8T
United Kingdom	FCA	£300,000	55	\$1.3T
New Zealand	FMA / FAP	NZ\$500,000	60	\$0.5T

Total Addressable Market: \$11.6T in home equity across target demographics. Even at 0.1% penetration, that represents \$11.6B in AUM — generating approximately \$29M in annual management fees alone, before profit share.

5. Revenue Model

FutureProof generates revenue from **three distinct streams**, creating a compounding business model where revenue grows with both AUM and investment performance:

Stream 1: Annual Management Fee (0.25% of AUM)

Recurring annual revenue of 0.25% of all assets under management. This is collected regardless of investment performance and scales linearly with origination volume.

- Per mortgage (\$1.35M): **\$3,375 per year**, ~\$101,250 over 30 years
- At \$1B AUM: **\$2.5M per year** in recurring management fees

Stream 2: Profit Share (25% Every 5 Years)

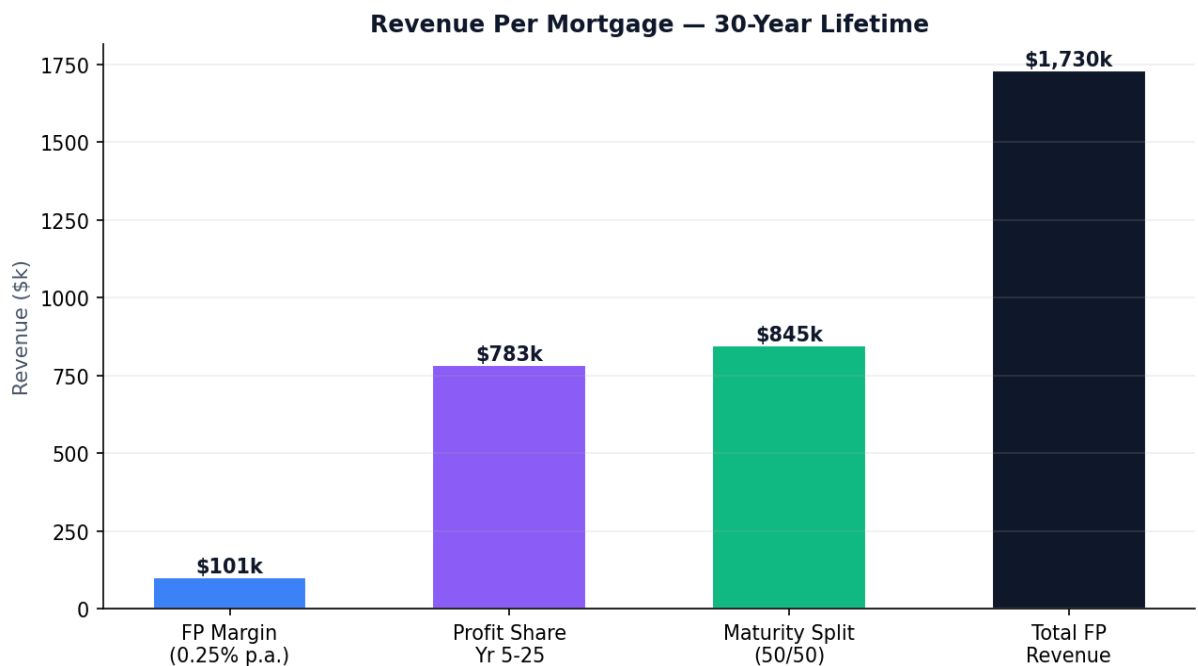
Every 5 years, 25% of the investment surplus above the loan baseline is realised as profit. This captures the upside from long-term equity market growth:

Year	Mean Profit Share	Cumulative
Year 5	\$36,021	\$36,021
Year 10	\$71,376	\$107,397
Year 15	\$139,569	\$246,966
Year 20	\$220,625	\$467,591
Year 25	\$315,689	\$783,280

Source: 50,000-path Monte Carlo simulation, v14a baseline parameters.

Stream 3: Maturity Surplus Split (50/50)

At loan maturity (Year 30), the remaining surplus after mortgage repayment is split 50/50 between FutureProof and the wholesale funder. Mean surplus at Year 30 is **\$1,690,289**, with FutureProof's share averaging **~\$845,000 per mortgage**.



Total 30-Year Revenue Per Mortgage: ~\$1.73M

Management fees: ~\$101k | Profit share: ~\$783k | Maturity split: ~\$845k

This represents approximately **128% return on the \$1.35M loan originated**.

6. Unit Economics & Scaling

The platform's economics improve dramatically with scale due to fixed cost leverage and the compounding nature of AUM-based revenue:

Metric	10 Mortgages	100 Mortgages	1,000 Mortgages
AUM	\$13.5M	\$135M	\$1.35B
Annual Mgmt Fee	\$33,750	\$337,500	\$3,375,000
5-Year Profit Share	\$360k	\$3.6M	\$36M
Annual Revenue (Yr 5)	~\$106k	~\$1.06M	~\$10.6M
Est. Operating Cost	~\$500k	~\$800k	~\$2M
Est. Margin (Yr 5+)	Negative	~25%	~80%+

The management fee provides baseline recurring revenue from day one. The profit share — which dwarfs the management fee — begins at Year 5 and grows exponentially. This creates a business with **high initial capital efficiency requirements** but extraordinary long-term margins.

Honest Assessment

- **Revenue timing:** Profit share revenue is back-loaded (first realisation at Year 5). The management fee alone does not cover operating costs at low AUM. We need to reach ~100 active mortgages before the management fee stream becomes meaningful.
- **Capital dependency:** Growth is gated by wholesale funder capital availability. Each mortgage requires ~\$1.35M in capital deployment. Scaling to 1,000 mortgages requires \$1.35B in funder commitments.
- **Regulatory complexity:** Each jurisdiction requires specific licensing (AFSL, FCA Auth, NMLS, FAP). While the platform handles compliance programmatically, obtaining licences takes 6-18 months per market.
- **Market education:** EPM is a new product category. Customer acquisition will require education spend to explain how it differs from reverse mortgages. We expect higher CAC initially.

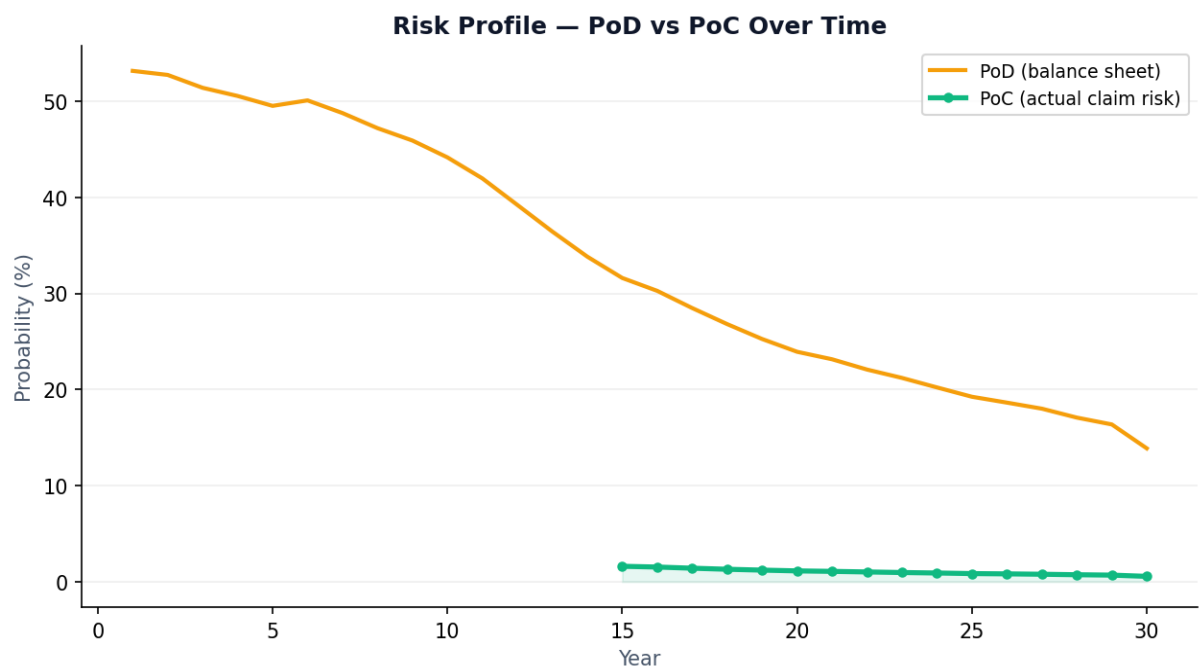
7. Risk Framework — Eight-Layer Defence

The EPM product is protected by an eight-layer defence system. Each layer reduces the probability that an insurance claim is ever made. The key distinction is between **PoD** (Probability of Deficit — a balance sheet snapshot) and **PoC** (Probability of Claim — actual insurance loss on an expiring loan). Only PoC matters for pricing:

Layer	Defence Mechanism	Purpose
0	Mortgage Offset Account Capital	Pre-funded prudential buffer (~30%)
1	Prudential Capital Buffer	Vintage diversification across cohorts
2	BlackRock Volatility Control	Adaptive equity/cash allocation

Layer	Defence Mechanism	Purpose
3	SpiderRock Dynamic Hedging	±20% collar on annual returns
4	Lender's Mortgage Insurance (LMI)	90% loss coverage on claims
5	Interest Holidays	Compound recovery during downturns
6	Payments Waterfall	Cross-subsidisation from surplus loans
7	Portfolio Reinsurance	Tail risk transfer (worst 10%)

Net effect: Individual PoD of 13.87% at Year 30 reduces to portfolio PoC of just **0.55%** after the Payments Waterfall. This means that in a diversified portfolio of EPM mortgages, fewer than 1 in 200 expiring loans results in an actual insurance claim.



8. What We've Built

FutureProof is not a pitch deck — it's a **production-deployed platform**. We have built the core technology stack required to originate, manage, and service EPM mortgages across four jurisdictions, with remaining integration and compliance work funded from this raise:

Platform Architecture

Component	Status	Details
Multi-Jurisdiction Origination	Production	4 regions, 8-step application workflow, auto-checklists
Financial Calculation Engine	Production	Actuarial models, MC-validated pricing, real-time quotes
Contract Lifecycle Management	Production	Funding allocation, investment tracking, payment processing
AI Agent Operations	Production	5 specialist agents (Ava, Marcus, Claire, Sam, Diana)
Compliance Framework	Production	KYC/AML per jurisdiction, audit logging, Paper Trail
Email Workflow Automation	Production	Visual builder, triggers, conditional logic
Webhook Integration System	Production	Event-driven, HMAC-signed, retry logic
Stakeholder Portals	Production	5 portals: Borrower, Lender, Funder, Broker, Admin
Legal Document Management	Production	24 templates (6 types x 4 regions), versioning
Real-Time Dashboards	Production	4 dashboards: Main, Financial, Risk, Business
Monte Carlo Risk Engine	Production	50K-path simulation
External API Integration	Mocked	CoreLogic, payments, identity — interfaces ready

Technology Stack

- **Backend:** Ruby on Rails 8.1.2, Ruby 3.4.8, PostgreSQL — chosen for rapid iteration and proven reliability in financial services
- **Frontend:** Stimulus.js (Hotwire), custom Apple HIG design system — no framework dependencies
- **Security:** AES-256 encryption at rest, TLS 1.3, RBAC, MFA, CSP, CSRF, Brakeman auditing
- **Testing:** 605 tests, 2,991 assertions, 0 failures — integration, unit, service, and controller coverage
- **Infrastructure:** Docker/Kamal deployment on Fly.io, Solid Queue/Cache/Cable
- **Risk Engine:** Python Monte Carlo with NumPy, validated against spreadsheet models

9. Competitive Advantages

- **First-mover in EPM infrastructure:** No existing platform supports the full EPM lifecycle. Reverse mortgage platforms (e.g., Finance of America, Longbridge) cannot pivot — their business model requires equity erosion. We are building the category.
- **Multi-jurisdiction from day one:** Four-market regulatory compliance baked into the platform architecture, not bolted on. Regional configuration drives everything: currencies, regulators, tax treatment, minimum ages, LTV limits.
- **Monte Carlo validated pricing:** Every quote is backed by 50,000-path simulation. Competitors in adjacent spaces (reverse mortgages, equity release) use actuarial tables with limited stochastic modelling. Our risk framework is transparent and auditable.
- **AI-native operations:** Five specialist AI agents handle onboarding, loan analysis, legal compliance, customer support, and operations monitoring. This reduces human headcount requirements by an estimated 60-80% compared to traditional mortgage servicing.
- **Platform, not product:** We are building the infrastructure for the EPM asset class. Lenders, funders, and brokers all operate through our platform. This creates network effects as more participants join.
- **Eight-layer risk framework:** Portfolio PoC of 0.55% (vs individual PoD of 13.87%) makes EPM one of the safest structured mortgage products available. This is the key to attracting institutional wholesale capital.

10. Use of Funds

We are raising **\$5M at a \$20M pre-money valuation** (20% dilution) to fund the path from production platform to first live mortgages. This valuation is supported by our DCF model (Section 11), which projects \$42M enterprise value at a 25% discount rate — offering significant upside at entry:

Category	Allocation	Purpose
Regulatory Licensing	25%	AFSL (AU), FCA Auth (UK), NMLS (US), FAP (NZ) — legal & compliance costs
Platform Completion	20%	Engineering team to complete external integrations (CoreLogic, payments, identity, e-signatures), borrower portal, and production hardening
External Integrations	10%	CoreLogic, payment gateway, identity verification, e-signatures — live API connections & licensing
First Mortgages	15%	Seed capital contribution to first 5-10 mortgages (alongside wholesale funder capital)
Team	20%	Engineers, compliance officer, operations lead, business development
Working Capital	10%	Infrastructure, insurance, professional services

Milestones

Timeline	Milestone	Key Metric
Month 1-6	Platform completion, regulatory applications, external APIs live	All 4 licence applications filed
Month 6-12	First jurisdiction licensed, first mortgages originated	24 live mortgages, \$32M AUM
Month 12-18	Second jurisdiction, wholesale funder partnerships	84+ mortgages, \$113M+ AUM
Month 18-24	All four jurisdictions active, 10+/month origination	200+ mortgages, \$275M+ AUM

11. Business Model & DCF Valuation

The following 10-year financial model projects FutureProof's revenue, costs, and free cash flow based on conservative origination assumptions. All three revenue streams are modelled independently:

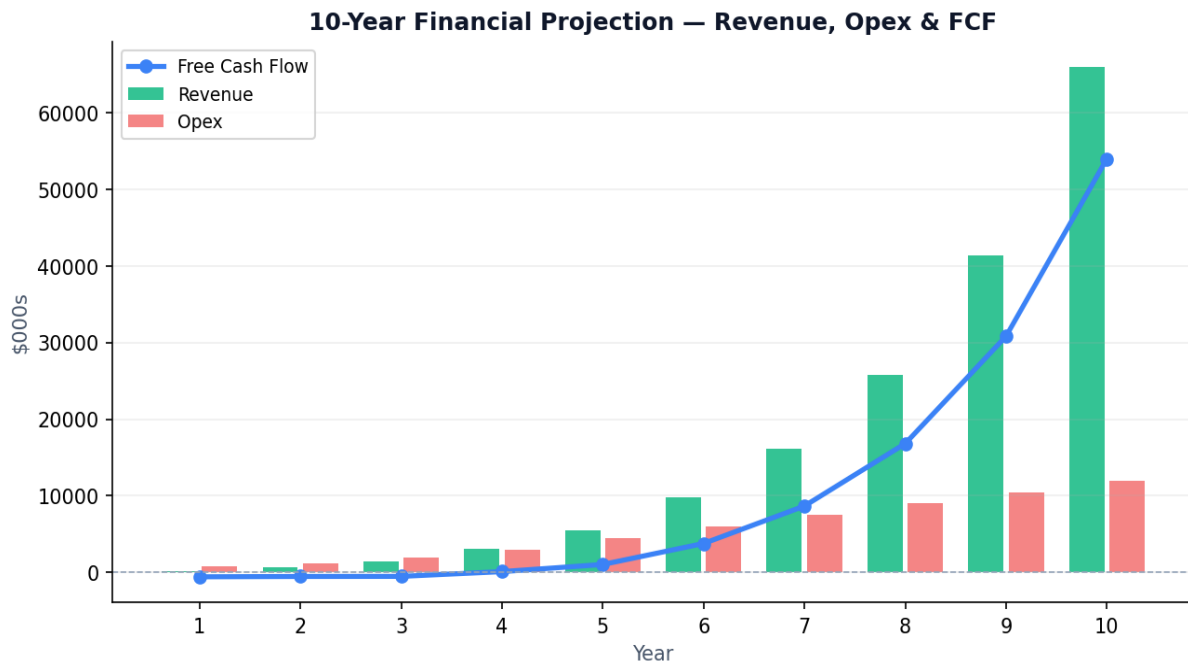
Key Assumptions

Assumption	Value	Rationale
Average mortgage size	\$1.35M	Based on \$2M property at 67.5% effective LVR
Origination ramp	24 → 1,500/yr over 10 years	2/mo → 125/mo across 4 jurisdictions (market research backed)
Management fee	0.25% of AUM p.a.	Recurring — collected regardless of performance
Profit share	From Year 5 per mortgage	Mean \$36K at Yr 5, growing to \$71K at Yr 10
Origination fee	0.5% of loan	One-time fee at mortgage origination
Discount rate	25%	Standard seed-stage VC hurdle rate
Terminal growth	3%	Long-term GDP-linked growth assumption

10-Year Financial Projections (\$000s)

Year	New	Total	AUM	Mgmt Fee	Profit Share	Orig Fee	Total Rev	Opex	FCF
1	24	24	\$32M	\$81	\$0	\$162	\$243	\$800	\$-557
2	60	84	\$113M	\$284	\$0	\$405	\$688	\$1,200	\$-512
3	120	204	\$275M	\$688	\$0	\$810	\$1,498	\$2,000	\$-502
4	240	444	\$599M	\$1,498	\$0	\$1,620	\$3,118	\$3,000	\$118
5	400	844	\$1,139M	\$2,848	\$0	\$2,700	\$5,548	\$4,500	\$1,048
6	600	1,444	\$1,949M	\$4,874	\$865	\$4,050	\$9,788	\$6,000	\$3,788
7	800	2,244	\$3,029M	\$7,574	\$3,195	\$5,400	\$16,169	\$7,500	\$8,669
8	1,000	3,244	\$4,379M	\$10,948	\$8,112	\$6,750	\$25,810	\$9,000	\$16,810
9	1,200	4,444	\$5,999M	\$14,998	\$18,199	\$8,100	\$41,298	\$10,500	\$30,798

Year	New	Total	AUM	Mgmt Fee	Profit Share	Orig Fee	Total Rev	Opex	FCF
10	1,500	5,944	\$8,024 M	\$20,061	\$35,747	\$10,125	\$65,933	\$12,000	\$53,933



DCF Valuation Summary

Metric	Value
Sum of PV(FCF) Years 1-10	\$14.9M
Terminal Value (Year 10)	\$252.5M
PV of Terminal Value	\$27.1M
Enterprise Value (NPV)	\$42.0M
Year 10 AUM	\$8.02B
Year 10 Revenue	\$65.9M
Year 10 FCF	\$53.9M
Year 10 FCF Margin	82%
Breakeven Year	Year 4

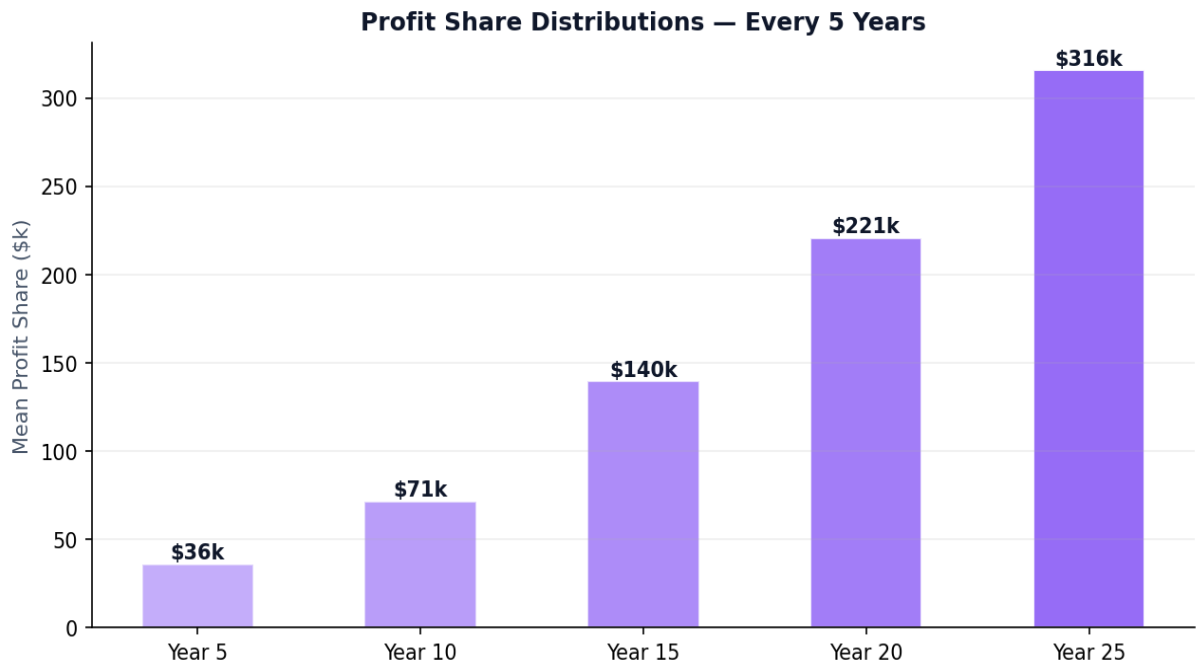
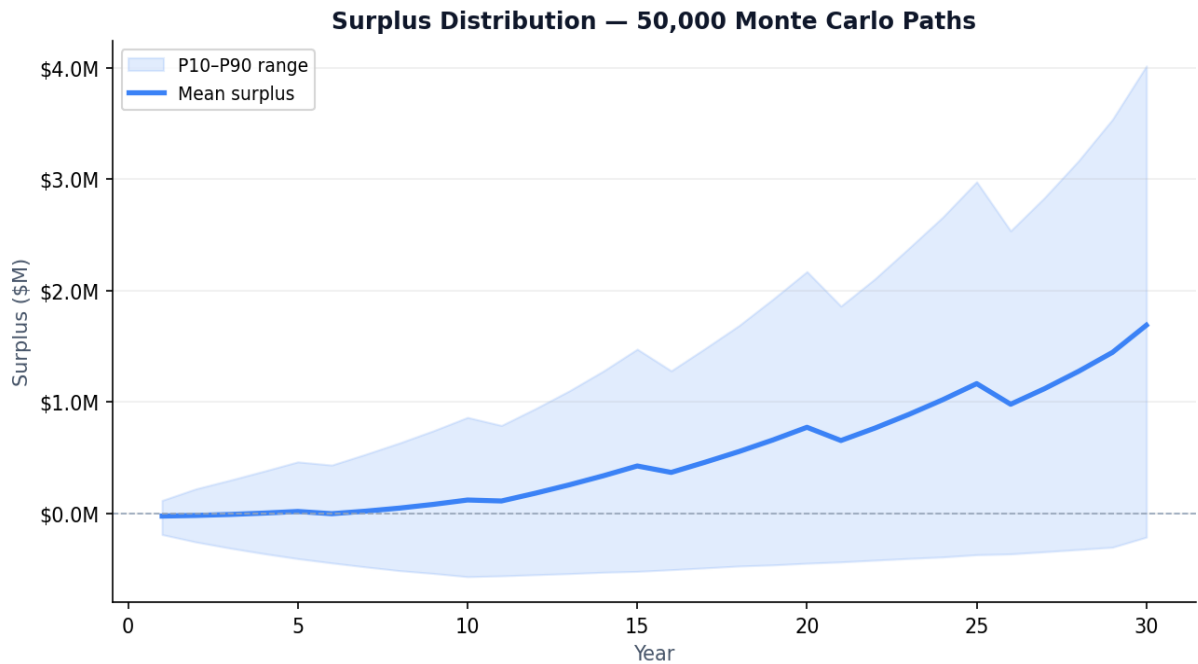
Note: This model excludes maturity surplus splits (Year 10-30 revenue), which represent the largest revenue stream long-term. At maturity, FutureProof receives 50% of surplus — a mean of \$845K per mortgage. Including maturities would significantly increase the terminal value. The model also assumes no geographic expansion beyond the initial four jurisdictions.

Sensitivity Analysis

Discount Rate	Origination Pace	Enterprise Value
20%	Conservative (base)	\$74M
20%	Moderate (1.5x)	\$112M
20%	Aggressive (2x)	\$149M
25% (base)	Conservative (base)	\$42M
25% (base)	Moderate (1.5x)	\$63M
25% (base)	Aggressive (2x)	\$84M
30%	Conservative (base)	\$25M
30%	Moderate (1.5x)	\$38M
30%	Aggressive (2x)	\$51M

12. Monte Carlo Validation

All financial projections in this document are derived from a **50,000-path Monte Carlo simulation** using Geometric Brownian Motion for equity returns and an Ornstein-Uhlenbeck process for interest rates. The simulation captures the full complexity of the EPM product including hedging collars, interest holidays, profit share extractions, and loan wind-up mechanics.



Key Simulation Results (Year 30)

Metric	Value	Interpretation
Mean Surplus	\$1,690,289	Average outcome across all 50K paths
Median Surplus	\$1,376,802	50th percentile — half of paths above this
P10 Surplus	-\$211,973	10% of paths below this (modest deficit)
P90 Surplus	\$4,017,354	10% of paths above this (strong upside)
PoD (Year 30)	13.87%	Probability investment < loan balance
PoC (Portfolio)	0.55%	Actual claim probability after waterfall
Fair Insurance Premium	\$21,953	PV of expected insurance loss
Conditional Deficit	-\$592,400	Average deficit given shortfall occurs

Parameters: Equity return 10% (GBM, vol 10%); Cash rate 4.4% (OU, kappa=0.8, sigma=1.5%); Correlation 0.069; Collar $\pm 20\%$; 30-year horizon; \$2M property, 67.5% effective LVR.

13. Why Now

- **Demographic tailwind:** 10,000 baby boomers turn 65 every day in the US alone. Australia's retirement population will double by 2060. The demand for equity release without downsizing is structural and growing.
- **Interest rate normalisation:** Higher-for-longer rates have increased mortgage costs, making the EPM's guaranteed-income model more attractive relative to new debt. The spread between investment returns (10% mean) and cost of capital (3.2%) supports the product at current rate levels.
- **AI cost reduction:** The operational cost of mortgage servicing has historically prevented innovation in this space. AI-native operations reduce the cost structure by 60-80%, making the EPM viable at scale.
- **Regulatory openness:** Post-GFC regulatory frameworks in all four target markets have created pathways for innovative mortgage products, provided they meet consumer protection standards. The EPM's equity preservation feature and NNEG guarantee align with regulatory intent.

FutureProof Financial

We have built the platform. The financial model is validated. The risk framework is robust. We are raising \$5M to complete the platform, secure licensing, and originate first mortgages — targeting breakeven by Year 4 and \$66M revenue by Year 10.

Contact: hello@futureprooffinancial.co

Platform: www.futureprooffinancial.co

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